

IT6506 e-Business Technologies — Exam Revision

Summary

Exam format: 2-hour paper, **4 structured questions**. Case-study driven. **Highest-yield area:** Porter's Five Forces → Business Strategies → eBusiness Models mapping, and the **7 E's eTransformation** model. Master these two — the guided practicals (Annex A/B/C) are exam-style questions.

0. EXAM FOCUS — what to nail first

Priority	Topic	Why
★★★	Porter's 5 Forces + strategies + eBusiness model mapping (T2, T5)	Annex A & B are built on it
★★★	7 E's eTransformation + 7S model (T7)	Annex C (Chocos case)
★★★	SWOT analysis (T4, T7)	Annex A (BabyLove case)
★★	6 eBusiness models (T5)	Definitions + when to use each
★★	eBusiness classification B2C/B2B/... (T1)	Easy marks
★★	CRM / customer lifecycle / eCRM (T9)	Definitions
★★	SCM push vs pull, evolution (T8)	Definitions
★	Digital marketing theories — Cialdini 6 + Social Identity (T6)	Named theories

1. Introduction to eBusiness & eCommerce

eBusiness = conduct of business processes/transactions using electronic means (internet, networks, digital tech): marketing, buying, selling, delivering, servicing, paying + managing supply chain.

eCommerce ⊂ **eBusiness**. **eCommerce** = buying/selling online; **eBusiness** is broader (all processes).

Why important: Global reach · Cost-effective · Increased efficiency (automation) · Improved customer service · Data analytics · Competitive advantage.

Classification (know examples):

- **B2C** – Business→Consumer (Amazon)
- **B2B** – Business→Business (raw material suppliers)
- **C2C** – Consumer→Consumer (eBay)
- **B2G** – Business→Government (procurement portals)
- **C2B** – Consumer→Business (Fiverr)
- **G2B / G2C / G2G** – Government variants

Advantages: reach/accessibility · cost savings · improved customer experience · flexibility · competitiveness · better SCM. **Disadvantages:** security risks · infrastructure requirements · technical issues · tech dependence · lack of personal interaction · increased competition.

eBusiness Environment:

- **Internal (7S-ish):** Employees, Board, Shareholders, Systems, Structure, Strategies, Shared values, Staff, Skills.
- **External:** Customers, Markets, Government, Suppliers, Special interest groups, Media, Labour unions, Competitors, Financial institutions.

Customer interaction cycle: Awareness → Consideration → Conversion → Retention → Advocacy.

Industrial-age characteristics (context): Standardisation, Specialisation, Synchronisation, Concentration, Maximisation, Centralisation (Adam Smith – division of labour; Henry Ford – assembly line; Alfred Sloan – management structures).

2. Evolution of eMarketplaces ★ (Porter's Five Forces lives here)

eMarketplace = digital platform connecting buyers & sellers. Horizontal (wide range – Amazon/eBay) vs Vertical (niche – Airbnb, Etsy). **Evolution:** Early (eBay/Amazon mid-90s) → Expansion (niche: Etsy, Daraz) → Mobile-first (Uber, PickMe) → B2B (Alibaba) → Platformization (Amazon streaming/cloud) → Blockchain/decentralized (OpenBazaar).

Traditional vs New business models:

Aspect	Traditional	New
Production	Mass	Personalised (DELL)
Distribution	Middleman	Direct (DELL)
Communication	Chained/Closed	Networked/Open
Finance	Slow/Difficult	Faster/Easier (24/7)
Markets	Local/Geographical	Global/No boundaries
Assets	Tangible/Physical	Intangible/Virtual

Michael Porter's Five Forces ★★★

1. **Bargaining Power of Suppliers**
2. **Bargaining Power of Buyers**
3. **Threat of New Entrants**
4. **Threat of Substitutes**
5. **Rivalry Among Existing Competitors**

Suppliers powerful when: few suppliers · unique/costly-to-switch inputs · your purchase is small % of their business · they can sell direct · hard to switch. → **Reduce by:** JIT deliveries · use customer-info to add value · adopt new tech fast · buying groups · **backward integration**.

Buyers powerful when: large & buy much of output · act as a group · many small suppliers/few large buyers · product = large expense · access to market info · undifferentiated product · low switching cost. → **Reduce by:** loyalty programs/partnerships · sell direct · add features/branding · target low-knowledge customers.

New entrants threat high when: no patents/regulation · low brand loyalty · low start-up/switching costs · non-unique products · easy access to inputs/customers · minimal economies of scale. → **Reduce by:** brand image · patents · alliances · signal retaliation · entry-detering pricing.

Substitutes threat high when: your product has no real benefit · easy to switch · low loyalty. → **Reduce by:** track customer prefs · branding/differentiation · collective advertising · value-added products.

Rivalry intense when: firms fighting for leadership · slow/shrinking market · high fixed costs · perishable products · undifferentiated (commodities) · easy switching · high exit costs. → **Reduce by:** differentiate/innovate · niche focus · novel channels · relationships · build loyalty.

Force → Strategy mapping ★★★ (MEMORIZE)

Force	Business Strategies
Threat of New Entrants	Product Differentiation / Product Bundling / CRM / Strategic Alliances / Cost Leadership (strengthen barriers of entry)
Rivalry among Existing Firms	VA Differentiation / Strategic Alliances / Product Bundling / Horizontal Integration / Marketing / Price discrimination / Pricing Strategies / Niche markets / CRM / Expand Product Line
Threat of Substitutes	Product Diversification / Market Diversification / Product Bundling / Strategic Alliances / Pricing Strategies
Bargaining Power of Suppliers	Product Differentiation / Backward Integration / SCM / Strategic Alliances / ePortal (bulk ordering)
Bargaining Power of Buyers	VA Differentiation / Forward Integration / Marketing / Product Bundling / Product Development / Strategic Alliances / CRM / Cost Leadership / Pricing / Expand Product Line

Disruptive technologies changing strategy: Shared DBs, Expert Systems, Telecom Networks, Decision Support Tools, Wireless/Mobile, Internet/WWW.

Info systems in business: MIS, ES (Expert Systems), TPS, ICS (Inventory Control), KM, Payroll, ESS (Executive Support), DSS, BI. **Value chain:** Supplier→Distributor→Manufacturer→Reseller→Customer. **SM**(supplier mgmt) + **SCM** upstream; **CRM** + Big Data downstream.

Direct-to-customer interaction stages: Awareness→Consideration→Conversion→Retention→Advocacy.

Mass Customization = combine mass production + customization (economies of scale + personalization). Enabled by CAD, 3D printing, automation.

- **Benefits:** ↑satisfaction · ↑revenue (premium) · ↓inventory · faster time-to-market · ↓waste · competitive advantage.
- **Problems:** can't build stock ahead · harder forecasting · surge-demand planning · disrupts 3rd-party supply chain · longer wait times · costly varied machinery.

Virtual Organization = geographically dispersed network working via technology. Moves business "from place to space." Benefits: wider talent pool · lower overhead · flexibility · collaboration · lower environmental impact. Concerns: Trust · Security · Convenience (borderless/faceless/paperless).

3. eBusiness Applications & Success Stories

Ride-hailing: Uber (founded idea 2008 Paris; first ride 2010; SL 2015). Two app types: rider & driver.

- **Uber value prop — passenger:** lower wait, lower price, ease of access, safety. **Driver:** flexible hours, extra income, choose rides, passenger pool.
- **Costs:** infrastructure, salaries. **Revenue:** ride commissions, surge pricing, premium rides.
- **Surge Pricing** = algorithm equilibrating supply & demand via a multiplier. ↑price → ↓passengers, ↑drivers → closes gap. (Case: Madison Sq Garden concert; NYE 2014 breakdown proved its value.)
- **Why Uber succeeds:** meets unmet needs (request anywhere, convenience, easy payment) + driver rating system.

PickMe (Digital Mobility Solutions Lanka, dev 2014, launch 2015): Ride, Food, Market, Rental, Flash (parcels), Truck — single app.

Online food ordering: UberEats (leveraged Uber infra/routing/customer base). PickMe Food (single app advantage).

Online Education: distance ed via tech. Platforms: Moodle, Zoom, MS Teams (COVID surge).

- **Sync vs Async** learning. **SPOC** (small private, paid, limited) vs **MOOC** (massive open, free, cert costs money).
- **Benefits:** flexible schedule/location, low cost, geographic flexibility, tech skills, time saved, program choice.
- **Issues:** needs high motivation/self-discipline, high dropout, isolation, screen time, technical issues.
- **Moodle** = Modular Object-Oriented Dynamic Learning Environment (Martin Dougiamas; free open-source LMS; v1.0 Aug 2002). Activities: Assignment, Quiz, Forum, Database, Feedback, Lesson, SCORM, Survey, Wiki, Workshop...
- **Zoom success:** timing (COVID), low data usage, ease of use, cost-effective.

Online Banking (Internet/Web banking): transfers, payments, account opening, loans, card payments.

- **Adv:** convenience 24/7, fast/efficient, easy monitoring. **Disadv:** confusing for new users, trust issues, no cash withdrawal, hacking/phishing risk, device/internet dependence.

4. Development of eBusiness Strategies ★

Driving Forces for Change: Technological · Market · Government regulations · Internal factors · Globalization · Social · Demographic. Grouped as:

- **Technical Forces:** Internet/WWW, communication explosion, tech advancement, info revolution, virtual connectivity, no geo boundaries.
- **Business-Driven Forces:** bargaining power of buyers/suppliers, market changes, strong competition, new strategies, diversification.
- **External Forces:** govt regulations, partner/interest-group pressure, market changes.
- **Internal Forces:** new strategies, process changes, management/staff/structure/value changes.

Business Goals/Strategies (status-based):

- **Survival** – in deep trouble, no choice, need re-engineering.
- **Sustainability** – not yet in trouble but foresees it; proactive.
- **Growth** – ambitious/aggressive; re-engineering to extend lead.

Business strategies: Product Differentiation (value-added) · Strategic Alliances · Product Bundling · Horizontal Integration · Marketing · Pricing Strategies · CRM · Expand Product Line.

E-Business Road Map (process sophistication) ★

External: Basic Website → Interactive Site → eCommerce Site. **Internal:** Effective Individual → Effective Team → Effective Organisation. → **Convergence** → **New Processes (SCM, CRM, KM).**

Stage	Description
Basic Website	Own domain, "brochureware", static e-catalogue, FAQs, mailing lists
Interactive Site	Two-way info, structured queries, forums/chat/feedback, DB, scripting, web server, security
eCommerce Site	Secure server / payment gateway, back-end systems, intl security standards, business continuity — Trust & Security major issues
Effective Individual	Standalone productivity software (accounting, payroll, spreadsheets)
Effective Team	Networked apps, LAN, intranet, shared devices/DBs
Effective Organisation	All networked, ERP/VPN/Intranet, enterprise-wide integration, strict security
Convergence	Full integration of info across all processes + partners
New Processes	SCM, CRM, KM

Four Disruptions:

- **Customer disruption** – customer needs/expectations shift (streaming vs TV; ride-share vs taxi; online shopping; mobile banking).
- **Product disruption** – new product makes old obsolete (smartphones, digital cameras, streaming media, EVs, 3D printing).
- **Price disruption** – offered far below market price (low-cost airlines, generic drugs, online retailers, digital music, solar).
- **Intelligent Agents** – autonomous software with decision-making. Types: **Reactive, Proactive, Learning, Intelligent software agents**. Examples: chatbots (NLP), digital assistants (Siri/Alexa), autonomous robots, recommendation engines, fraud detection, autonomous vehicles.

DELL example (direct-to-customer): custom order online, payment before shipping, no middleman, all service via web, shipment tracking, proactive approach. Founded 1984 by Michael Dell with \$1,000.

IT impact shifts: From Atoms→Bits · Place→Space · Brick→Click · Real→Virtual.

5. eBusiness Models & Revenue Models ★★★

Common revenue models: E-commerce · Online Marketplace (commission) · Subscription (SaaS) · Freemium · Advertising · Affiliate Marketing · P2P · Online Services · Crowdfunding · Digital Content.

The 6 eBusiness Models (know definition + when to use)

1. **Direct-to-Customer (D2C)** – sell direct, bypass intermediaries (DELL). *Benefits:* lower prices, build-to-order, early payment, faster release cycles, customer data → customization, control over branding/pricing, market reach.
2. **Supply Chain Model** – digital tech optimizes supply chain (EDI, WMS, inventory/demand planning). Info flow across chain; strong back-end bonds. *Benefits:* visibility, agility, efficiency, reduced lead times, supplier collaboration.
3. **Full-Service Provider (FSP)** – one-stop end-to-end solution; single point of contact (hotels + airlines + car rentals). Sells own + 3rd-party (commission/service fee). *Benefits:* simplified procurement, efficiency, cost savings, integration, expertise.
4. **Revenue Sharing Model** – multiple companies collaborate via **eHub/ePortal**, market collectively, share revenue by agreed terms. Shared risk & reward, value-added synergy. E.g., affiliate marketing, ad networks, app stores, reseller programs, joint ventures.
5. **Digital Value Hub (eRegion)** – digital platform = central hub for value creation within an industry/ecosystem. Strong B2B partnerships, competitor collaboration, force against foreign competition, data-driven insights.
6. **Global Trade Platform (for SMEs)** – online marketplace for cross-border trade. Features: business matching, product listings, communication, trade facilitation (customs/logistics/payment), market intelligence, financial services, training.

Extended Enterprise = expansion beyond org boundaries; networked ecosystem (suppliers, customers, partners). Key elements: Collaboration, Supply Chain Integration, Customer Engagement, Technology Enablement, Risk Management, Value Co-creation. (Boeing 7E7 built across many countries.)

Force → Strategy → eBusiness Model (Annex B answers!) ★★★

Force	eBusiness Model to apply
Threat of New Entrants	Direct-to-Customer / Full-Service Provider / ePortal / eRegion
Rivalry among Existing Firms	Full-Service Provider / ePortal / Supply Chain / D2C
Threat of Substitutes	D2C / Full-Service Provider
Bargaining Power of Suppliers	ePortal / eRegion / Supply Chain Model
Bargaining Power of Buyers	ePortal / eRegion / D2C / Full-Service Provider / eAuctioneer

Annex B logic (True/False style):

- Revenue-sharing/ePortal → collective bulk orders → **lowers supplier power** (bargaining leverage). ✓
- Digital Value Hub → industry competitors collaborate → **lowers rivalry & threat of new entrants** (force against foreign competition). ✓
- Full-Service Provider → one-stop, high switching cost → **lowers buyer power**. ✓

6. Digital Marketing Strategies

Social media = participation + P2P communication + user-generated content (UGC). **Social media marketing** = monitoring/facilitating customer-customer interaction to encourage positive engagement.

Types of social sites: Social Networks (FB/Twitter) · Streaming (YouTube) · Search (Google) · Knowledge (Wikipedia/Reddit/Quora) · Blogging · Customer Service · Publishing · Bookmarking (Pinterest).

Social Influence Theory — Cialdini's 6 Principles ★ (name them!)

1. **Reciprocity** – return favors (free samples, valuable content, personalization).
2. **Commitment & Consistency** – opt-in/subscription, quizzes, loyalty programs.
3. **Social Proof** – testimonials, reviews, influencers, follower counts. Types: expert, celebrity, user, wisdom-of-crowd.
4. **Authority** – experts, industry partnerships, authoritative content.
5. **Liking** – influenced by similarity, attractiveness, familiarity, compliments, cooperation.
6. **Scarcity** – limited quantity / limited time (flash sales, countdowns, pre-orders). FOMO.

Social Identity Theory

People split world into "us" (in-group) vs "them" (out-group). 3 processes: **Social Categorization** → **Social Identification** → **Social Comparison**. Marketing use: brand communities, social proof, shared values/causes.

Facebook ad targeting — 3 audiences: Core (demographics/behavior/location) · Custom (past interactors) · Lookalike (similar to best customers). **FB Campaign objectives:** Awareness · Traffic · Engagement · Leads · App Promotions · Sales. **A/B Testing** = compare two ad versions (image/text/audience/placement). **Budget types:** Daily (avg daily; up to 25% over/day, ≤7× over week) vs Lifetime (total over duration). **Ad formats:** Single image/video · Carousel · Collection. **Meta Business Suite** = manage FB + Instagram marketing centrally.

Instagram: photo/video sharing, hashtags, business account = switch to professional. Ad types: image, story, video, carousel, collection, explore, shopping, reels.

Twitter Ads: Promoted Ads (image/video/carousel/moment/text) · Follower Ads · Twitter Amplify (pre-roll/sponsorships) · Twitter Takeover (timeline/trend) · Twitter Live · Dynamic Product Ads (retargeting/prospecting) · Collection Ads. Objectives: Reach, Engagements, Followers, Website Traffic.

7. eBusiness Transformation — The 7 E's ★★★

BPR vs eTransformation:

- **BPR** = radical "clean slate" redesign of processes; tech is enabler not driver.
- **eTransformation** = broader, iterative, builds on existing; tech is central; includes business model transformation, customer experience, data-driven decisions.

"**The e is temporary; it will all be business.**" — Start with business priorities. Process-based (not project-based) approach. Calculate ROI, use KPIs.

The 7 E's (Strategic eTransformation Model) — MEMORIZE ORDER

1. **Environmental Analysis** – Global IT/Business trends, **SWOT**, Industry Analysis (**Porter's 5 Forces**). Consumer/Service/Organisational/Enterprise-tech trends.
2. **eBusiness Goals/Strategies** – decide Survival/Sustainability/Growth. Porter's generic strategies: **Cost Leadership, Cost Focus, Differentiation, Differentiation Focus**. Select business strategies + eBusiness models.
3. **eReadiness (Internal/External)** – is the org ready?
 - *Internal*: Business processes, Applications & Infrastructure, Web presence, Skills, Executive mgmt commitment, External connectivity, Future directions.
 - *External*: Customers, Suppliers, Potential users.
4. **eTransformation Roadmap** – assess current position, show path (UWS roadmap: Basic Website→...→New Processes).
5. **eTransformation Methodology** – iterative, evolutionary. Internal (Business Process Modeling → BPR → Change Mgmt → Enhance with IT) + External (Identify purpose → Design/Develop → Promotion → Maintenance).
6. **eSystems** – ICT Infrastructure, Business Systems, IT Policies/Security, IT Maintenance/Support. Controls: **Management, Operational, Technical**. Security, contingency & disaster recovery.
7. **Evolution – Change Management** – runs across ALL stages. Uses **McKinsey 7S Model**.

McKinsey 7S Model (Change Management) ★

1. **Strategy** – key actions/capabilities to reach goals.
2. **Structure** – how units relate; chain of command; communication channels.
3. **Systems** – info flow; IT + processes/procedures/controls.
4. **Style** – behavior of key managers, how they relate to employees.
5. **Staff** – people employed, positions, levels, numbers.
6. **Skills** – aptitude/skills; needs a learning environment.
7. **Shared Values** – guiding concepts/values (often unwritten) aligning everyone.

(*Structure, Systems, Style, Staff, Skills, Strategy = the 6 around; Shared Values = centre.*)

8. e-Supply Chain Management (eSCM)

SCM = planning, organizing, implementing, controlling supply chain operations efficiently. Coordinates all supply activities supplier→customer. Optimizes **Information Flow, Product Flow, Cash Flow**. Upstream = buy-side e-commerce; Downstream = sell-side e-commerce.

Historic evolution (6 eras): Creation (term coined Keith Oliver 1982) → Integration (EDI 1960s, ERP 1990s) → Globalization → Specialization Phase I (core competencies, outsourcing, OEMs) → Specialization Phase II (ASP→on-demand→SaaS) → **SCM 2.0** (Web 2.0 concepts, collaboration platforms).

Evolution in orgs (Levels 1–5): internal processes → corporate integration → external/customer focus → involve trading partners → fully automated connections (real-time inventory).

Historical management practices:

- 1960s/70s **PDM** (Physical Distribution Mgmt) – paper-based, EDI point-to-point.
- 1970s/80s **Logistics** (MRP + **JIT** – minimize inventory/waste, lean production).
- 1980s/90s **SCM & ECR** (Efficient Consumer Response; SAP ERP; global sourcing).
- 1990s/2000s **TIM** (Technological Interface Management; ERP + EDI/XML; info > inventory).

Push vs Pull ★

	Push	Pull
Basis	Forecast future demand	Actual customer demand
Aim	Optimize cost/efficiency	Enhance product/service quality
Driver	Manufacturer-led	Market-research-driven
Cycle times	Long	Short
Inventory	High	Low
Tech/EDI	Limited	Extensive (B2B exchanges)

SCM functionalities: Purchasing · Operations (forecasting) · Logistics (warehousing/transport) · Resource Management · Information Workflow. **SCM software:** SAP SCM, Infor SCM, Blue Yonder, NetSuite SCM, Shippabo, Magaya, Logiwa WMS.

eBay case study (founded 1995):

- **Value prop — Buyers:** Trust, Value, Selection, Convenience. **Sellers:** global market access, efficient marketing/distribution, ↑sales.
- **Detailed Seller Ratings** (4 criteria): item as described, communication, delivery time, postage/packaging.
- **Main risk = Fraud** → "Trust & Safety Programs", feedback forum, top-seller status.

Daraz – eCommerce like eBay. **Fulfillment by Daraz (FBD):** Daraz handles processing, packing, shipping, storage, returns. Benefits: ↑satisfaction (faster), ↑conversion, saves cost/time, easy scale (unlimited Order Volume Limit).

9. e-Customer Relationship Management (eCRM)

CRM (term ~mid-1990s) = "approach to building and sustaining long-term business with customers." Grew from Sales Force Automation (SFA).

Customer Lifecycle (4 stages) ★

1. **Selection** – identify target customer segments.
2. **Acquisition** – gain new customers, minimize cost, target high-value.
3. **Retention** – keep existing customers (personalized offers).
4. **Extension** – expand what customer buys ("customer development").

Extension techniques: Re-sell · **Cross-sell** (related products) · **Up-sell** (more expensive) · Reactivation (lapsed customers) · Referrals.

Marketing apps of CRM: SFA · Customer service management · Managing sales process · Campaign management · Analysis (data warehouse/data mining).

eCRM = digital comms tech to maximize sales to existing customers & encourage continued online usage. Includes lead→conversion, profile mgmt, multichannel contact, data mining, personalization ("next-best product"), online service (FAQ/chat), service quality.

Social CRM = managing customer-to-customer conversations to engage customers with brand. Integrates CRM with FB/Twitter/LinkedIn.

- **Scope:** Marketing, Sales, Service/Support, Innovation, Collaboration, Customer Experience.
- **5Ms:** Monitoring · Mapping · Management · Middleware · Measurement.

eCRM benefits: cost-effective targeting (self-selecting lists) · mass customization of messages · deeper/broader relationships · learning relationship · lower cost.

New tech in CRM: AI/ML (NLP, predicting behavior, sentiment analysis, predictive lead scoring) · Chatbots (instant FAQ response) · VR/AR (virtual tours/showrooms/fitting rooms).

Search Marketing (2 techniques) ★

1. **Paid search** (paid listings / "sponsored links") – **Pay-Per-Click (PPC)**. Ranking = highest bid CPC × quality score (clickthrough rate matters, not just bid). Tool: **Google Ads** (formerly AdWords). Formats: text, responsive, image, app, video, shopping, call-only.
2. **Organic search** – **SEO** (Search Engine Optimization).

SEO ranking factors:

- **Keyword Density** – repetition in text (but "keyword stuffing" = penalty). Use in headings (`<h1>`), anchor text, start of page.
- **Number of inbound links (backlinks)** – Google's **PageRank**; each link = a vote; high-PR pages weigh more.
- **Title HTML tag** (`<title>`) – keyphrase in title ranks higher; appears as hyperlink in results.
- **Meta-tags** – keywords + description meta tags (Google ignores keywords meta now; description shows in results).
- **Alternative graphic text (ALT tag)** – hidden text for images; also accessibility compliance.

Google Analytics = web analytics platform. Insights: Website Traffic, Audience Demographics, User Behavior, Conversion Tracking, E-commerce Analytics, Mobile Analytics. Setup: create GA4 property → add data stream (Web) → install Google Tag (gtag.js) after `<head>` .

Google Business Profile (formerly Google My Business) = free tool controlling how business appears on Search/Maps. Benefits: visibility, correct info, authenticity/trust, 1SEO, respond to reviews, customer insights.

10. Entrepreneurial Opportunities in eBusiness

Fiverr – global marketplace for digital services. Sellers offer **"Gigs"** (+ Gig Packages, min \$5).

- Categories: Graphics & Design, Music & Audio, Programming & Tech, Digital Marketing, Business, Writing & Translation, Data, Video & Animation, Lifestyle, Photography.
- **Fee:** takes **20% from freelancers**; **5.5%** service fee from clients (+ \$2 small-order fee under \$50). Acts as **escrow**.
- Freelancer adv: global exposure, flexibility, portfolio, secure payment, reviews. Disadv: high competition, low pricing, oversaturation, 20% fee, platform dependence.

Google AdSense & AdMob:

- **AdSense** – publishers earn from ads on **websites** (display/text/video). Publishers get **68%** of revenue.
- **AdMob** – app developers monetize **mobile apps** (banner/interstitial/reward). Developers get **60%** of revenue.

- **Disadv:** revenue volatility, account suspension, limited ad control, ad blocking/fatigue, UX impact, invalid clicks/fraud.

Dropshipping = sell without carrying inventory. Customer orders → retailer forwards order+details to supplier → supplier ships directly to customer.

- **Adv:** low startup cost, reduced risk, flexibility/scalability, wide product range, time-efficient.
- **Disadv:** lower margins (no bulk discount), no quality control, supplier dependency, limited branding, customer-service challenges, long shipping times.
- **Process:** create store (Shopify/WooCommerce/eBay) → research products (AliExpress) → list → receive order → fulfill via supplier → supplier ships → profit = customer price – supplier price.

Affiliate Marketing = performance-based; affiliate earns commission per sale/lead/action via unique referral link. (E.g., tech blogger's Amazon link.)

- Sites: **Amazon Associates, eBay Partner Network, AliExpress Affiliate.**
- **Adv:** passive income, targeted marketing, flexibility/scalability. **Disadv:** commission-only, merchant dependency, saturation/competition, payment delays.

Cryptocurrency = digital currency using cryptography, on decentralized **blockchain**. Coins: Bitcoin (BTC), Ethereum (ETH), Tether (USDT), BNB, USD Coin (USDC).

- **Earning methods:** Mining (validate transactions, solve puzzles, PoW — costly hardware/energy) · Trading (buy/sell on price movements) · Investing (long-term holding) · Staking (Proof-of-Stake, hold & stake for rewards).
- **Exchanges:** Binance, Coinbase, Kraken, Bybit, Crypto.com.

QUICK-RECALL CHEAT LISTS

- **Porter's 5 Forces:** Suppliers, Buyers, New Entrants, Substitutes, Rivalry.
- **7 E's:** Environmental Analysis · eBusiness Goals/Strategies · eReadiness · eTransformation Roadmap · eTransformation Methodology · eSystems · Evolution (Change Mgmt).
- **7S:** Strategy, Structure, Systems, Style, Staff, Skills, Shared Values.
- **6 eBusiness Models:** D2C, Supply Chain, Full-Service Provider, Revenue Sharing, Digital Value Hub, Global Trade Platform.
- **4 Disruptions:** Customer, Product, Price, Intelligent Agents.
- **Customer Lifecycle:** Selection, Acquisition, Retention, Extension.
- **Cialdini 6:** Reciprocity, Commitment/Consistency, Social Proof, Authority, Liking, Scarcity.
- **Porter's generic strategies:** Cost Leadership, Cost Focus, Differentiation, Differentiation Focus.
- **Business goal states:** Survival, Sustainability, Growth.
- **Push vs Pull:** Push=forecast/high inventory/cost; Pull=demand/low inventory/quality.
- **IT shifts:** Atoms→Bits, Place→Space, Brick→Click, Real→Virtual.

How to answer the case-study questions (Annex A/B/C pattern)

1. **SWOT** — list Strengths, Weaknesses (internal); Opportunities, Threats (external).
2. **Porter's 5 Forces** — assess each force high/low for the company.
3. **Pick business strategies** to reduce the strong forces (use the mapping table).
4. **Pick eBusiness model(s)** that implement those strategies.
5. For eTransformation cases → walk through the **7 E's** in order, applying the company's specifics; use **7S** for change management.

Good luck! 🎓